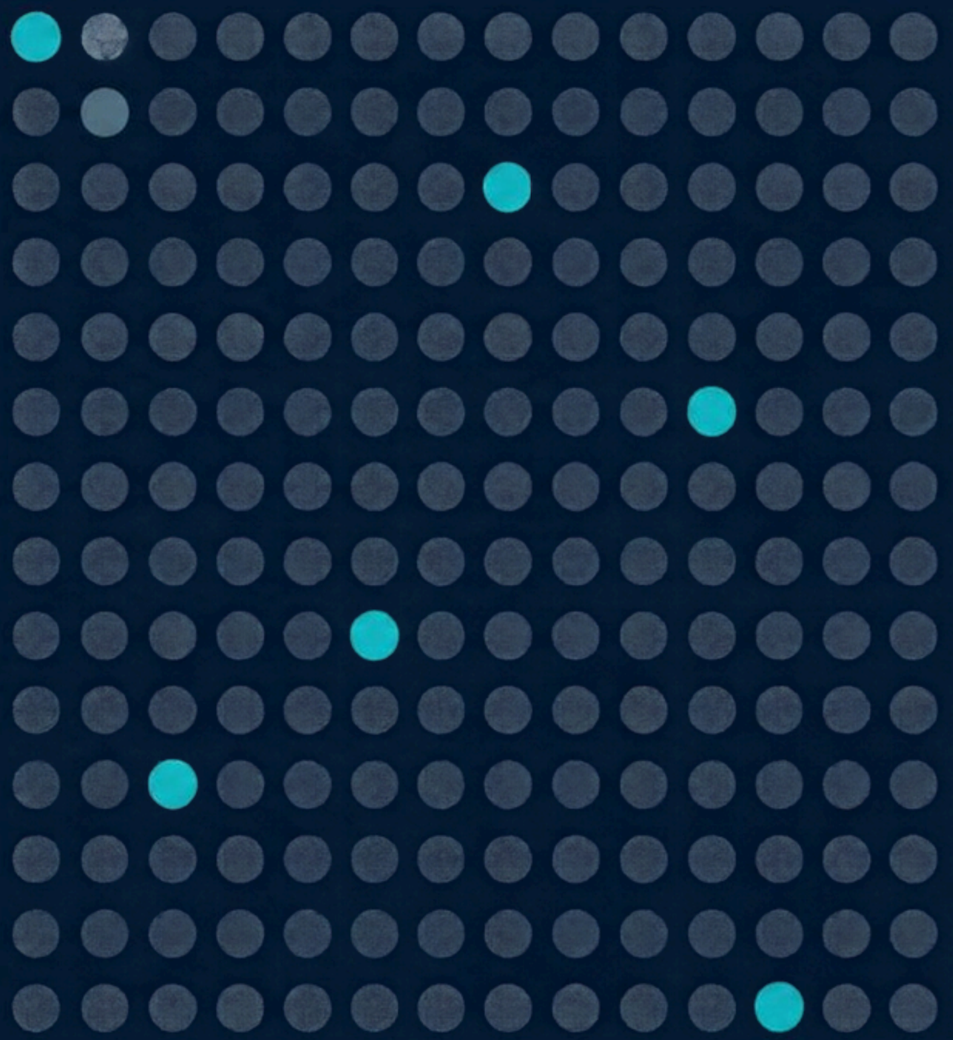
Fraud alerts freeze innocent people, and nobody counts them



Most AML flags are innocent customers

Frozen accounts mean
missed rent, payroll and bills

Banks tune for catching
crime, not for limiting harm

Set the harm cap first, then catch as much as we can

The bank sets a cap, for example 5 wrongly held innocents per 10,000.

1

Bank sets cap

→

2

System catches as much laundering as it can

→

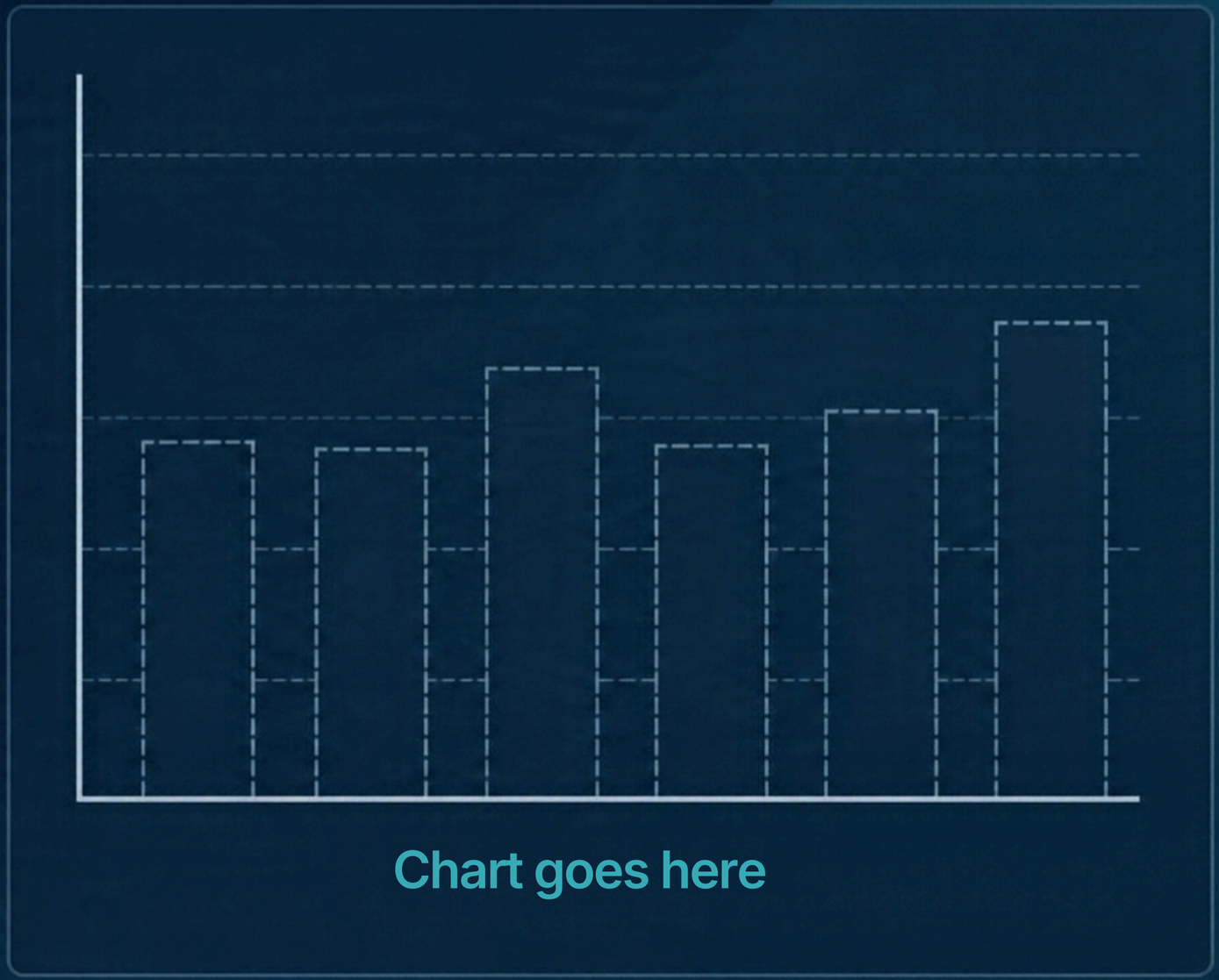
3

Cap is tested on later data

Does the cap hold?

Tested on later time windows and a second dataset

Cap held in [TBD]% of windows. Recall at 5 per 10,000: [TBD]



Limitations

Synthetic IBM AML data, no real “innocent” label

“Held innocent” is our definition, not ground truth

Data spans only days to weeks

A proof of method, not a claim about a real bank

